simply sells out the venture started by him to someone else after its successful take-off. They keep on conceiving new ideas to develop alternative projects. In short, these entrepreneurs have got professional expertise in starting the venture and exiting it after the establishment.

24.05 Classification in Terms of Motivation

1. Pure Entrepreneur

Pure entrepreneurs are individuals who are propelled to enter into venture by psychological and economic motives. Their egos do not permit them to work for somebody else. They nurture desire of starting a particular venture and earning high profit there from and thus attaining a social status. They apply their knowledge, skill and insight in making the venture a great success in order to earn maximum profit out of the venture. Example Dhirubai Ambani, Jamshadji Tata, T.V. Sundaram Iyengar, Seshadriji, Birla, Narayanamurthi, Aziz Premji and so on.

2. Induced Entrepreneur

An induced entrepreneur is one who is inspired to take up entrepreneurial activity thanks to entrepreneurship friendly policies put in place by the Government. In other words, concessions, incentives and soaps provided by the government drive them to enter into venture. Government provides a great deal of support in the form of loans, subsidies, nominal rate of interest, tax breaks, tax holidays, training, import of technology from abroad, concessions for export oriented item, allotment of sheds, and lands at subsidised price etc. impel the potential entrepreneurs to start the venture.

3. Motivated Entrepreneur

Motivated entrepreneurs are those motivated to take up venture by the desire for self fulfilment. They are motivated to produce and market product or service by sheer prospect of making huge profit. They are further motivated to develop the venture to a saleable stage so that he/she can sell the venture at a super profit to certain entrepreneurs(buyers) who do not like to take risks in setting up a new venture but desire to buy well developed venture promising great profit prospects.

4. Spontaneous Entrepreneur

These entrepreneurs have natural inclination to start venture. They are supposed to be bold, optimistic and enterprising persons. They have passion for meeting the challenges. Their inner urge and inborn traits drive them to commence their ventures.

24.06 Classification Based on Development Stage

1. First Generation Entrepreneur

First generation entrepreneur is one who starts venture by virtue of his knowledge, skill, talent and competence. He/she innovates a product/service by technical expertise possessed by him/her. These entrepreneurs do not have any family background or prior exposure to the venture initiated by them. They are self made entrepreneurs.

2. Modern Entrepreneur

Modern entrepreneur is one who keenly observes the dynamics of the market with eagle eye and identify the unfilled gaps, if any in product/service marketed. He/she takes initiative in starting the venture to cater to the unmet needs of the market.

3. Classical Entrepreneur

Classical entrepreneur is one who starts his own venture as a family business. They are called life timers. They engage in business as a matter of routine. Their prior exposure to business environment impels them to commence venture of their own. Entrepreneurs from the business families are called classical entrepreneurs. For instance where son of provision merchant start his own provision shops, the former is called classical entrepreneur.

12th Commerce Unit 9.indd 219 09-12-2021 11.57.36 AM